

returns) had borrowed money from Manu Manek to make stock market investments. Manek is said to have goaded his associates to target Reliance shares, saying the company was financially vulnerable. He also made some disparaging remarks about Dhirubhai for good measure.

Bears won the initial round as the stock price flagged under their relentless onslaught. But they had not bargained for an equally fierce counter-attack led by Anand Jain, Dhirubhai's key lieutenant. Jain and his associates took over the positions of the brokers and traders who had bought Reliance Industries shares, and also themselves bought as many shares as they could from the market. On the other side of these trades was the bear cartel, which had short-sold Reliance shares or sold shares they never owned in the first place. As the share price started to climb because of the demand created by Jain and his associates, the bears tried to get out of their positions by buying shares from the market. But the shares were in short supply, as most of them had been bought up by Jain and company, and the bears' attempts to square up their positions only sent the stock price shooting up further.

The bears thought they could buy time by paying an interest charge to the bulls on settlement day to carry forward their trades to the next settlement. They were still convinced that if they hung on to their positions for a bit longer, the price movement would reverse in their favour. But the 'buyers' of Reliance shares refused the offer of interest payment, and insisted that the bears deliver the shares, fully aware that they would not be able to. Frantic buying by the bears to square up their positions further drove up the stock price. The crisis led to the stock exchange itself being closed for a few days as the bears could not deliver the shares and the bulls would not settle for anything else.

A truce was worked out eventually, but not before a few bears were bankrupted and the legendary Manu Manek forced to eat humble pie.

In comparison with Manubhai, Nemish and Kayan kept a far more low profile. Kayan was more active on the Calcutta Stock Exchange than on the BSE. He was also a dominant player in the opaque world of the money market. Before long, Kayan would be locked in a pitched battle with Harshad Mehta in both the money and stock markets. It was a tussle that would alter the landscape of the Indian financial markets forever.

As for Nemish Shah, he was slowly making a transition from being a speculator and broker to a value investor, and even playing mentor to some